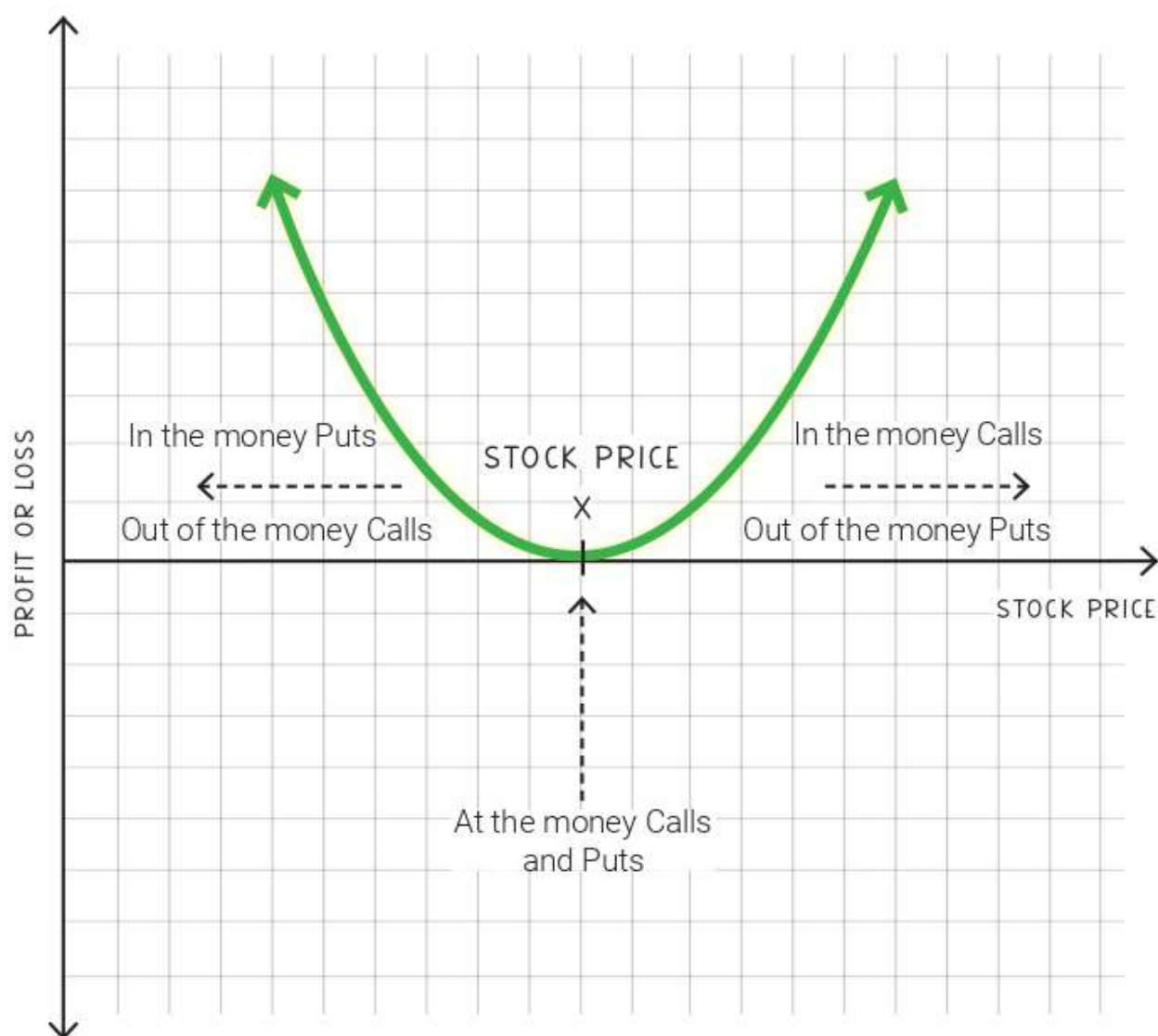


MONEYNESS OF THE OPTION

As the option goes deep in the money, the option price increases. And as we go deep out of the money, the option price decreases.



As discussed earlier, the price of the option has intrinsic value as one of its components. So, as we go deep into the money, the option price increases with the increase in in-built profits. While as we go deep out of the money, the in-built profits are zero and so the option price decreases.